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Large-cap IPOs: does valuation or a quant rule tell you more?

Across 96 IPOs worth $5bn+ (2010–2025), buying after listing lagged the index at every horizon, and simple rules that bet against new issues beat valuation-based buying — though the strongest of them depends heavily on the 2020–21 boom. In a pilot of 19 deals valued from their prospectuses with comps (EV/EBITDA, EV/Sales, P/E, dividend yield) and a DCF, the IPOs that traditional valuation rated attractive did not outperform. The same lag shows up across 119 large listings in India, Hong Kong and China.

Data snapshot 2026-10-19 · version 1.4.0 · code, data and tests · download results (CSV)

+14%
Median gain for allocation buyers, offer to first month-end

−49 pts
Median 3-year excess return, bought at first month-end

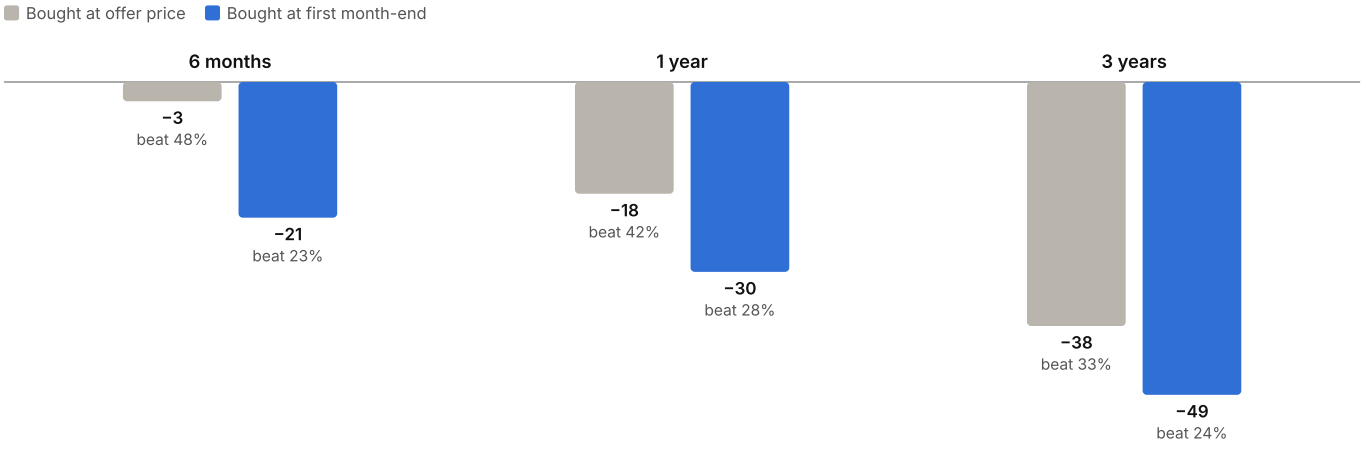
24%
Deals that beat the index over 3 years after listing

−0.01
Rank correlation of price-to-sales at offer with 3-year excess (0 = no signal)

What happened after listing

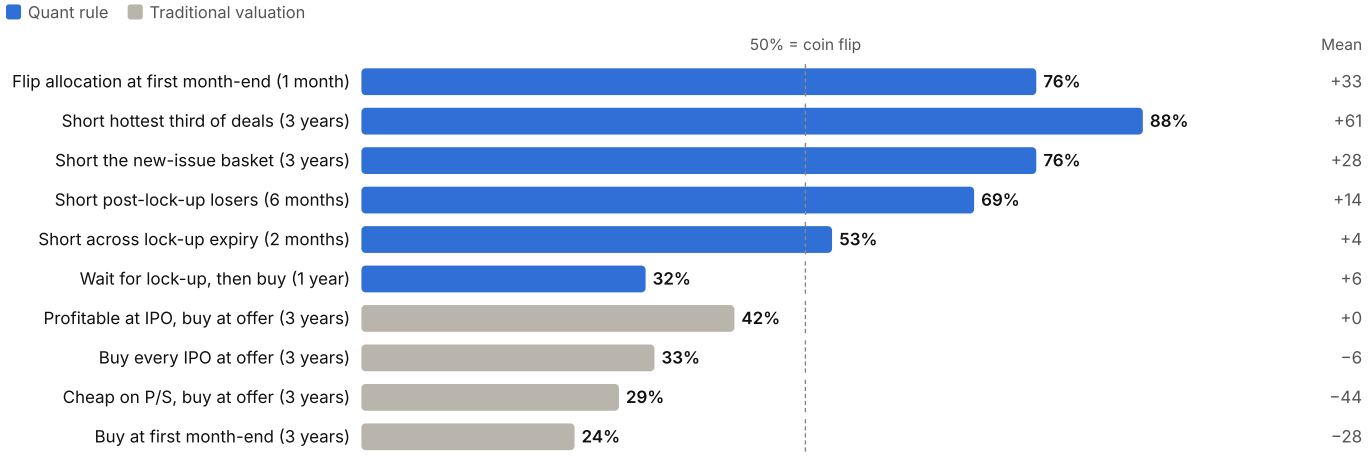
The typical deal trailed the index at every horizon

Median return minus benchmark (S&P 500 for US deals, MSCI ACWI for global). Label below each bar: share of deals that beat the index.



Systematic rules beat every valuation screen

Share of deals where the rule beat the index (flipping: share above the offer price). Mean excess return at right. Before trading and borrowing costs.



Does it survive other specifications?

Each row reruns the whole study with one change. Anyone can rerun these with `make robustness`.

> Robust: buying after listing lagged the index in every variant. Not robust: the hot-deal short. Without the 2020–21 boom it earned −4 pts on average and was right 60% of the time; for 2010–2018 listings, −9 pts and 50%.

Variant	Deals	Median 3y excess, after listing	Beat index, 3y	Median 3y excess, from offer	Short hottest third: mean 3y	Right	P/S rank corr.
Base case ($5bn+, 2010-2025, US + global)	96	−49	24%	−38	+61	88%	+0.00
Very large only ($10bn+)	76	−51	20%	−39	+72	90%	−0.10
Mega only ($25bn+)	32	−43	23%	−33	+58	80%	+0.30
US only	81	−57	24%	−41	+61	90%	+0.00
Global only	15	−21	29%	−12	+39	60%	
Excluding the 2020-21 boom	64	−27	31%	−19	−4	60%	+0.04
First half only: 2010-2018 listings	31	−10	35%	0	−9	50%	−0.22
Second half only: 2019-2025 listings	65	−79	18%	−45	+64	88%	+0.21
Excluding the five best 3-year winners	91	−52	19%	−40	+76	96%	−0.18

Traditional valuation vs quant strategies

Pilot: 19 IPOs valued from their prospectuses with comparable multiples (EV/EBITDA, EV/Sales, P/E, dividend yield; P/B for the one financial) and a standard 10-year DCF. Each traditional rule buys the IPOs it rates attractive; the quant rules run on the same 19 deals.

Strategy	Type	Entry	Trades	1 month	6 months	1 year	3 years
Dividend yield above industry	Traditional	offer	2		+8% (50%)	−16% (50%)	−70% (0%)
Dividend yield above industry	Traditional	first month-end	2		−10% (50%)	−32% (0%)	−84% (0%)
P/E below industry	Traditional	offer	2		+5% (50%)	+9% (50%)	+33% (50%)
P/E below industry	Traditional	first month-end	2		+2% (50%)	+4% (50%)	+21% (50%)
EV/EBITDA below industry	Traditional	offer	1		−15% (0%)	−37% (0%)	−99% (0%)
EV/EBITDA below industry	Traditional	first month-end	1		−27% (0%)	−48% (0%)	−110% (0%)
EV/Sales below industry	Traditional	offer	3		−5% (33%)	−32% (33%)	−76% (0%)
EV/Sales below industry	Traditional	first month-end	3		−24% (33%)	−48% (0%)	−90% (0%)
Comps value above offer	Traditional	offer	4		+4% (50%)	−15% (50%)	−57% (0%)
Comps value above offer	Traditional	first month-end	4		−11% (50%)	−27% (25%)	−68% (0%)
DCF value above offer	Traditional	offer	2		−13% (50%)	−33% (0%)	+23% (100%)
DCF value above offer	Traditional	first month-end	2		−8% (0%)	−29% (0%)	+47% (50%)
Buy every IPO	Benchmark	offer	19		+15% (58%)	+24% (42%)	+20% (53%)
Buy every IPO	Benchmark	first month-end	19		−13% (16%)	−11% (26%)	−7% (26%)
Short hottest third	Quant	first month-end	7		+34% (100%)	+20% (86%)	+71% (100%)
Short new-issue basket	Quant	first month-end	19		+13% (84%)	+11% (74%)	+7% (74%)

Strategy	Type	Entry	Trades	1 month	6 months	1 year	3 years
Flip allocation	Quant	offer	19	+32% (79%)			
Wait for lock-up, then buy	Quant	month 6	19			+25% (37%)	

Each cell: mean excess return vs the index (share of trades that beat it). Short positions earn the index return minus the stock's. Flipping is the raw gain from the offer to the first month-end. Before costs.

> Traditional valuation rarely called an IPO cheap: each rule bought 1–4 of the 19 deals, too few to tell skill from luck. Over 3 years from the offer, p/e below industry (2 deals, +33 pts) and dcf value above offer (2 deals, +23 pts) beat the index; the other valuation rules lagged it. The size of the valuation gap did not predict returns — rank correlation of the comps gap with 1-year excess return −0.49, DCF gap −0.36 (positive would mean cheap IPOs did better). Over the same deals, flipping allocations and shorting the hottest third did better. Pilot sample: treat as indicative.

How each IPO was valued at its offer price

The IPO's multiple at the offer price against its industry (Damodaran, January of the IPO year). Comps and DCF gaps: fair value ÷ offer value − 1; positive = priced cheap.

Deal	EV/EBITDA (ind.)	EV/Sales (ind.)	P/E (ind.)	Div. yield (ind.)	Comps gap	DCF gap	Traditional rules that buy	3y vs index
Coupang	– (41.7x)	4.7x (5.6x)	– (65.4x)	– (0.0%)	+19%	−91%	EV/Sales below industry; Comps value above offer	−87
Warner Music	24.6x (21.8x)	3.4x (4.7x)	49.8x (38.1x)	1.9% (0.6%)	+16%	−60%	Dividend yield above industry; EV/Sales below industry; Comps value above offer	−40
Kenvue	15.8x (16.8x)	3.3x (3.6x)	28.6x (27.7x)	3.6% (2.2%)	+10%	−66%	Dividend yield above industry; EV/EBITDA below industry; EV/Sales below industry; Comps value above offer	−99
Synchrony	– (35.3x)	– (8.7x)	9.6x (16.5x)	– (1.0%)	+5%		P/E below industry; Comps value above offer	−2
HCA Healthcare	7.1x (6.8x)	1.3x (0.6x)	12.8x (13.5x)	– (0.4%)	−3%	−47%	P/E below industry	+68
Saudi Aramco	7.5x (3.7x)	4.7x (0.6x)	15.4x (10.3x)	4.4% (4.8%)	−42%	+262%	DCF value above offer	+9
Airbnb	– (22.8x)	7.5x (3.4x)	– (65.2x)	– (0.1%)	−49%	−81%	none	+67
Hilton	19.5x (10.7x)	3.5x (2.4x)	55.9x (27.4x)	– (1.6%)	−51%	−112%	none	+10
Zoetis	17.4x (8.9x)	3.8x (3.1x)	29.8x (15.4x)	1.0% (3.1%)	−55%	−62%	none	+26
Facebook (Meta)	33.9x (17.1x)	19.0x (3.9x)	81.2x (31.9x)	– (0.0%)	−61%	+10%	DCF value above offer	+38
Alibaba	37.4x (25.3x)	18.7x (0.8x)	44.1x (–)	– (0.1%)	−61%	−45%	none	+118
Snap	– (20.7x)	40.3x (6.8x)	– (64.8x)	– (0.1%)	−69%	−98%	none	−46
Ferrari	15.7x (7.9x)	3.9x (0.9x)	37.4x (11.1x)	– (4.2%)	−70%	−64%	none	+94
Uber	– (8.3x)	5.8x (1.2x)	75.9x (14.4x)	– (2.3%)	−75%	−62%	none	−106
Twitter	– (23.2x)	38.1x (4.2x)	– (39.3x)	– (0.0%)	−76%	−77%	none	−58
Snowflake	– (24.0x)	107.9x (8.8x)	– (46.9x)	– (0.7%)	−79%	−89%	none	−6
Arm Holdings	60.7x (8.6x)	19.1x (2.8x)	99.9x (20.9x)	– (1.1%)	−83%	−89%	none	+383
Zoom	654.1x (20.2x)	26.1x (7.0x)	1217.0x (70.8x)	– (1.0%)	−90%	−94%	none	+129
Rivian	– (45.7x)	– (3.6x)	– (123.2x)	– (0.3%)			none	−123

Asia: India, Hong Kong and China A-shares

119 listings worth $5bn+ at the offer, 2010–2025: India 27, Hong Kong 59, China A-shares 33. Same returns, rules and statistics as the US + global study.

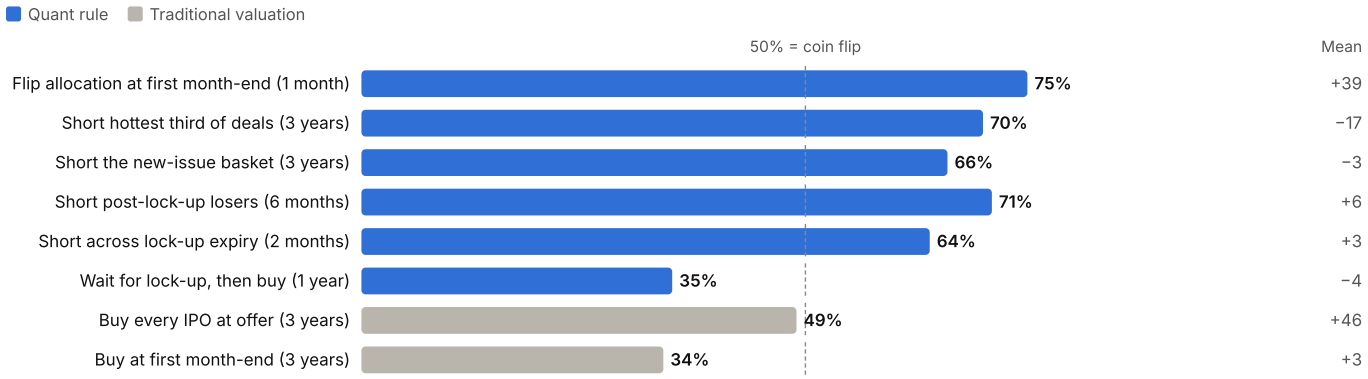
> The same pattern holds in Asia: allocations made money (median first-month gain +15%), but buying after listing lagged the local index — median −22 pts over 3 years, with 34% of deals ahead. The lag was worst in India (−45), mildest in China A (−12), where first-month gains are also largest (median +74%). Shorting the hottest third was right 70% of the time (76% outside 2020–21) but its mean is −17 pts: a few China A deals that kept soaring (mean −68 pts within China A) wipe out the gains, so the rule needs position limits there.

Market or variant	Deals	1st-month gain	1y excess after listing	3y excess after listing	Beat index 3y	3y excess from offer	Short hottest third, mean 3y	Right
All Asia ($5bn+, 2010-2025)	119	+15%	−15	−22	34%	−1	−17	70%
India	27	+21%	−25	−45	27%	−53	+16	50%
Hong Kong	59	+4%	−10	−21	34%	−16	+35	86%
China A-shares	33	+74%	−19	−12	39%	+48	−68	67%
Very large only ($10bn+)	76	+10%	−18	−24	32%	−4	+13	81%
Excluding the 2020-21 boom	98	+11%	−10	−14	36%	+3	−33	76%
First half only: 2010-2018 listings	53	+10%	−10	−14	34%	+3	−31	76%
Second half only: 2019-2025 listings	66	+23%	−25	−28	35%	−10	+30	71%

Benchmarks: Nifty 50 (Nifty BeES) for India, Hang Seng (Tracker Fund) for Hong Kong, CSI 300 for China A-shares; total return in local currency. Market rows re-rank the hottest third within that market.

Rules across all Asian deals

Share of deals where the rule beat the local index (flipping: share above the offer price). Mean excess at right.



Asian valuation pilot: Hong Kong, China A and India

15 prospectuses (Hong Kong 5, China A 5, India 5), valued with the same comps and DCF rules as the US pilot. Most were priced rich (median comps gap −25%, DCF gap −35%). Unlike the US pilot, the gap pointed the right way here: rank correlation with 3-year excess from the offer +0.30 for comps and +0.43 for DCF. Comps called CATL (A), China National Nuclear Power, Foxconn Industrial Internet, Hindustan Aeronautics, Mindray Medical cheap; 4 of these are China A listings.

Deal	Market	EV/EBITDA (ind.)	P/E (ind.)	Comps gap	DCF gap	1y vs index	3y vs index
CATL (A)	China A	6.6x (22.4x)	14.1x (48.4x)	+184%	+122%	+163	+1979
Foxconn Industrial Internet	China A	9.9x (17.7x)	17.1x (87.6x)	+122%	−104%	−22	−63
Hindustan Aeronautics	India	8.8x (18.6x)	15.5x (35.9x)	+79%	−29%	−55	−53
Mindray Medical	China A	15.1x (26.3x)	22.9x (53.8x)	+63%	−7%	+242	+621
China National Nuclear Power	China A	17.7x (8.3x)	21.3x (22.1x)	+4%	−263%	+130	+89
Smoore International	Hong Kong	21.1x (20.8x)	30.0x (49.4x)	−1%	+29%	+163	−17
Coal India	India	11.5x (8.6x)	15.7x (16.3x)	−19%	−5%	+53	+16
Beijing-Shanghai High-Speed Railway	China A	12.3x (10.3x)	23.4x (17.5x)	−25%	−35%	−24	−5
Xiaomi	Hong Kong	23.2x (17.7x)	– (40.5x)	−42%	−1%	−48	+49
Nongfu Spring	Hong Kong	26.1x (11.4x)	43.5x (32.6x)	−56%	−34%	+78	+133
Zomato (Eternal)	India	– (12.9x)	– (–)	−58%	−87%	−48	+138
Haidilao	Hong Kong	38.3x (10.4x)	68.8x (36.0x)	−68%	−37%	+91	+71
China Tower	Hong Kong	6.8x (6.0x)	95.3x (20.5x)	−78%	−88%	+46	−18
Nykaa (FSN E-Commerce)	India	325.1x (12.9x)	860.2x (–)	−83%	−186%	−20	−55
Paytm (One 97 Communications)	India	– (38.2x)	– (–)	−84%	−97%	−89	−105

Traditional rules vs quant rules on the Asian pilot deals

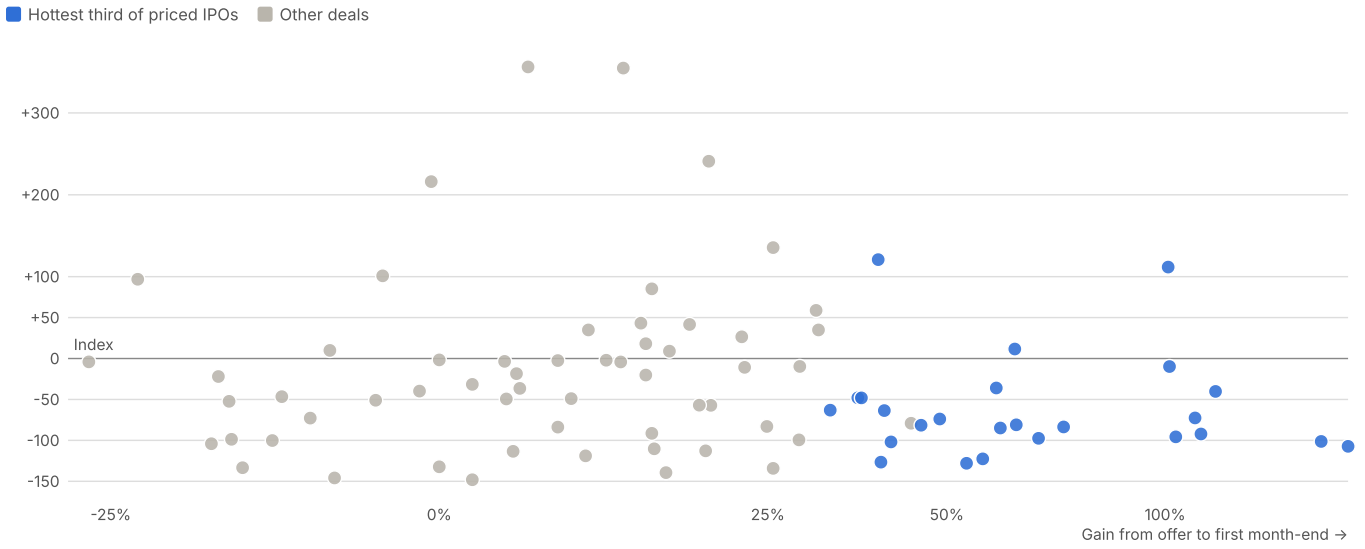
Strategy	Type	Entry	Trades	1 month	6 months	1 year	3 years
P/E below industry	Traditional	offer	7		+158% (71%)	+96% (71%)	+368% (57%)
P/E below industry	Traditional	first month-end	7		+11% (57%)	−11% (29%)	+81% (29%)
EV/EBITDA below industry	Traditional	offer	4		+84% (50%)	+82% (50%)	+621% (50%)
EV/EBITDA below industry	Traditional	first month-end	4		−5% (50%)	−14% (25%)	+170% (50%)
EV/Sales below industry	Traditional	offer	4		+84% (50%)	+82% (50%)	+621% (50%)
EV/Sales below industry	Traditional	first month-end	4		−5% (50%)	−14% (25%)	+170% (50%)
Comps value above offer	Traditional	offer	5		+106% (60%)	+92% (60%)	+515% (60%)
Comps value above offer	Traditional	first month-end	5		−6% (40%)	−15% (20%)	+129% (40%)
DCF value above offer	Traditional	offer	2		+355% (100%)	+163% (100%)	+981% (50%)
DCF value above offer	Traditional	first month-end	2		+42% (100%)	−21% (0%)	+261% (50%)
Comps and DCF both above offer	Traditional	offer	1		+207% (100%)	+163% (100%)	+1979% (100%)
Comps and DCF both above offer	Traditional	first month-end	1		+16% (100%)	−15% (0%)	+590% (100%)
Buy every IPO	Benchmark	offer	15		+79% (73%)	+44% (53%)	+185% (53%)
Buy every IPO	Benchmark	first month-end	15		−4% (40%)	−18% (33%)	+33% (40%)
Short hottest third	Quant	first month-end	8		+4% (63%)	+25% (75%)	−78% (50%)
Short new-issue basket	Quant	first month-end	15		+4% (60%)	+18% (67%)	−33% (60%)
Flip allocation	Quant	offer	15	+76% (73%)			
Wait for lock-up, then buy	Quant	month 6	15			−1% (47%)	

Mean excess return vs each deal's local index (share of trades that beat it). Means are dominated by CATL, which beat the CSI 300 by about 20 times its offer price over 3 years; read the share column and treat the whole table as indicative.

Deal by deal

Hottest third: median −81 pts over 3 years, vs −32 for the rest

Each dot is one deal: gain from offer to first month-end (x, log-like scale) against excess return over the following 3 years (y).



Deal	Region	Listed	Value $bn	P/S	1st month	1y vs index	3y vs index	3y after listing
Klarna	US	2025-09	15		−8%	−85		
Figma	US	2025-07	16	21.5x	+250%	−46		
Chime	US	2025-06	9.8	5.9x	+28%	−46		
Circle	US	2025-06	6.9		+485%	+80		
CoreWeave	US	2025-03	19	9.7x	−7%	+76		
SailPoint	US	2025-02	13	14.9x	+4%	−56		
Venture Global	US	2025-01	60	12.2x	−18%	−77		
Hyundai Motor India	Global	2024-10	19		−7%	+3		
Lineage	US	2024-07	19	3.6x	+13%	−59		
Viking Holdings	US	2024-05	10	2.2x	+31%	+73		
Reddit	US	2024-03	5.4	6.7x	+45%	+200		
Birkenstock	US	2023-10	8.6	5.5x	−15%	−38	−117	−104
Arm Holdings	US	2023-09	52	19.5x	+5%	+144	+383	+356
Instacart	US	2023-09	8.3	3.3x	−1%	−0	−41	−40
Klaviyo	US	2023-09	7.6	16.0x	+15%	−18	−133	−139
Kenvue	US	2023-05	42	2.8x	+14%	−37	−99	−110
Mobileye	US	2022-10	17	12.1x	+26%	+60	−121	−134
Corebridge	US	2022-09	14		−6%	−18	−3	+10
Porsche AG	Global	2022-09	73		0%	−12	−132	−132
Life Insurance Corp of India	Global	2022-05	77		−15%	−38	−39	−22
Dubai Electricity & Water	Global	2022-04	34		+13%	+6	−5	−20
TPG	US	2022-01	9.1		+14%	+21	+116	+85
HashiCorp	US	2021-12	14	67.5x	+14%	−48	−86	−91
Samsara	US	2021-12	12	46.0x	+22%	−28	+61	+27
Nubank	US	2021-12	41		+4%	−37	−14	−19
Rivian	US	2021-11	68		+54%	−50	−123	−128
GitLab	US	2021-10	11	72.4x	+46%	−22	−60	−82
Freshworks	US	2021-09	10	40.5x	+19%	−49	−108	−113
Toast	US	2021-09	20	24.3x	+25%	−43	−69	−83
Robinhood	US	2021-07	32		−8%	−72	−77	−73
Didi Global	US	2021-06	68	3.1x	+1%	−68		
Marqeta	US	2021-06	14	49.4x	+4%	−59	−113	−113
Oatly	US	2021-05	10	23.9x	+40%	−75	−125	−127

AppLovin	US	2021-04	29	19.7x	−28%	−52	−38	−4
Coinbase (DL)	US	2021-04	49		+19%	−55	−44	−57
UiPath	US	2021-04	29	47.8x	+29%	−68	−92	−99
Coupang	US	2021-03	60	5.0x	+41%	−65	−87	−102
Roblox (DL)	US	2021-03	25	26.8x	+44%	−13	−53	−79
Bumble	US	2021-02	7.9	16.2x	+57%	−57	−113	−123
Kuaishou	Global	2021-02	61		+169%	−30	−83	−107
Affirm	US	2021-01	12		+103%	+8	−54	−96
Qualtrics	US	2021-01	15	19.8x	+47%	−26		
Airbnb	US	2020-12	41	8.5x	+116%	+116	+67	−40
DoorDash	US	2020-12	32	36.6x	+40%	+17	−36	−64
JD Health	Global	2020-12	28		+111%	−31	−63	−92
Nongfu Spring	Global	2020-09	31		+63%	+59	+95	+12
Palantir (DL)	US	2020-09	12	15.8x	+31%	+202	+87	+35
Snowflake	US	2020-09	33	125.3x	+109%	+122	−6	−73
Unity	US	2020-09	14	25.3x	+68%	+113	−73	−98
Beike (KE Holdings)	US	2020-08	23	3.5x	+156%	−41	−49	−101
XPeng	US	2020-08	11	32.8x	+37%	+152	−16	−48
Li Auto	US	2020-07	9.6	240.5x	+39%	+154	+226	+121
Royalty Pharma	US	2020-06	17	9.2x	+73%	+8	−35	−84
Warner Music	US	2020-06	13	2.8x	+18%	+5	−40	−57
Saudi Aramco	Global	2019-12	1,707		+10%	−3	+9	−2
Budweiser APAC	Global	2019-09	45		+4%	−27	−33	−37
Datadog	US	2019-09	7.8	39.5x	+26%	+263	+203	+136
Peloton	US	2019-09	8.1	8.9x	−13%	+227	−102	−99
Chewy	US	2019-06	8.8	2.5x	+59%	+96	+23	−36
CrowdStrike	US	2019-06	6.7	26.7x	+101%	+188	+361	+112
Slack (DL)	US	2019-06	14	34.4x	+44%	+12		
Uber	US	2019-05	76	6.7x	−10%	−32	−106	−100
Pinterest	US	2019-04	10	13.3x	+63%	+8	−39	−81
Zoom	US	2019-04	9.2	27.9x	+101%	+275	+129	−10
Lyft	US	2019-03	21	9.5x	+9%	−56	−115	−119
SoftBank Corp	Global	2018-12	64		−10%	−24	−59	−47
Tencent Music	US	2018-12	21	13.3x	+2%	−41	−147	−148
Meituan	Global	2018-09	48		−0%	+15	+215	+216
Nio	US	2018-09	6.4		+12%	−79	+414	+355
Pinduoduo	US	2018-07	21	75.7x	+19%	+9	+318	+241
Xiaomi	Global	2018-07	48		+4%	−50	+2	−4
AXA Equitable	US	2018-05	11		+7%	+2	+9	−3
Spotify (DL)	US	2018-04	24	4.7x	+23%	−11	+24	−11
Dropbox	US	2018-03	8.2	7.4x	+49%	−6	−32	−74
iQiyi	US	2018-03	13	4.8x	−14%	+24	−67	−52
Siemens Healthineers	Global	2018-03	34		+15%	+33	+33	+9
Altice USA	US	2017-06	22	3.7x	+8%	−44	−42	−49
Snap	US	2017-03	20	48.7x	+33%	−20	−46	−63
Japan Post Holdings	Global	2015-11	52		+36%	+1	−19	−48
Ferrari	US	2015-10	9.8	3.1x	−3%	−2	+94	+101
Alibaba	US	2014-09	168	19.8x	+31%	−13	+118	+59
Citizens Financial	US	2014-09	12		+9%	+14	+50	+35
Synchrony	US	2014-07	19		0%	+38	−2	−2
Ally Financial	US	2014-04	12		−3%	−25	−54	−51
Santander Consumer	US	2014-01	8.3		+7%	−39	−80	−84
Hilton	US	2013-12	20	2.1x	+11%	+17	+10	−4
Twitter	US	2013-11	14	44.7x	+60%	+44	−58	−85
Zoetis	US	2013-02	13	3.0x	+29%	−5	+26	−10
Facebook (Meta)	US	2012-05	81	21.9x	−22%	−63	+38	+97
Zynga	US	2011-12	7.0	11.7x	−6%	−92	−148	−146
Groupon	US	2011-11	13	40.8x	−13%	−95	−139	−133
HCA Healthcare	US	2011-03	15	0.6x	+13%	−19	+68	+43

Kinder Morgan	US	2011-02	21	2.6x	+2%	+17	−30	−32
Nielsen	US	2011-01	8.0	1.6x	+13%	+22	+40	+18
General Motors	US	2010-11	50		+4%	−43	−45	−49
AIA Group	Global	2010-10	31		+17%	+24	+72	+42

Excess in percentage points vs the index; "1y" and "3y" measured from the offer price (reference price for direct listings, marked DL). Blank = horizon not reached or company acquired.

Check it yourself

1. Get the code and data: https://github.com/aalqu/IPO-val-vs-q
2. Run the tests and rebuild every number on this page:

```
pip install -e ".[test]"
make test        # unit, data-integrity and regression tests
make results     # writes results/results.json and deal_returns.csv
make robustness  # the table above
ipo-study run --universe asia          # India, Hong Kong, China A
ipo-study valuation --universe asia    # Hong Kong comps/DCF pilot
```

3. Rebuild prices from a second source and compare: `make crosscheck` (downloads from Yahoo Finance).
4. Change an assumption: `ipo-study run --min-mcap 10 --region US --exclude-cohort 2020-21 --bootstrap 2000`
5. Found an error? Open an issue with the deal, the field, the correct value and a source link. Corrections are logged in `data/corrections.csv`.

Method and limits

- **Universe:** 96 listings worth $5bn or more at the offer price, 2010–2025: 81 US (including 5 direct listings) and 15 global. Excluded: Glencore (offering documents could not be retrieved) and three deals with no monthly prices at Yahoo Finance (First Data, Borouge, ADNOC Gas).
- **Every number is sourced:** each deal's offer price, share count, listing date and exchange rate comes from a named document — the final prospectus, the exchange's allotment or listing announcement, or the Federal Reserve H.10 rate — with the exact words quoted (data/deal_facts.csv, checked by the test suite). Market value at the offer = offer price × all shares outstanding after the offering, before any over-allotment. Nothing is estimated: a value that cannot be sourced is left blank, and a deal whose size cannot be computed is excluded.
- **Returns:** buy-and-hold total return from month-end closes (adjusted for splits and dividends), minus the benchmark's total return over the same months.
- **Traditional valuation (pilot):** each IPO's EV/EBITDA, EV/Sales, P/E and dividend yield at the offer price (P/B for financials) against Damodaran's industry multiples for the IPO year and region, and a 10-year DCF with the same rules for every deal. Inputs come from the final prospectus (424B4) and SEC XBRL data; every row links to its filing.
- **Simple screens:** profitability at IPO and price-to-sales against the sample median, for the deals whose last full-year revenue and operating profit are reported in SEC XBRL filings (mostly US filers). Non-US deals are left out of these screens rather than given approximate figures.
- **Quant rules:** reconstructed from published research (long-run underperformance, hot-issue fade, lock-up expiry, post-lock-up momentum). They are not any fund's actual strategy.
- **Limits of the valuation pilot:** 19 deals (Porsche excluded for lack of sourceable accounts), so each rule trades only a handful; trailing multiples, not the forward multiples bankers emphasise; basic post-IPO share counts (excluding options and RSUs), which flatter Facebook, Snap, Uber and Airbnb.
- **Prices:** monthly closes from Yahoo Finance; nine delisted US names (no longer served by Yahoo) from a digrin.com snapshot. A cross-check against a second price source has not yet been run.
- **Asia extension:** 119 listings worth $5bn+ in India (27), Hong Kong (59, including mainland companies' H-shares; A+H dual listings tagged) and mainland China A-shares (33), each against its local index, with offer prices, share counts and listing dates from HKEXnews, CNINFO and the final Indian prospectuses. Excluded: three deals with no monthly prices at Yahoo Finance (Haitong Securities H, ESR, Sinovel), ICICI Prudential Life (prospectus not retrievable) and ZJLD (US$4.5bn at the offer, under the threshold). Korean listings were removed from the study (22 Oct 2026). Revenues and profitability are not yet extracted for these deals, so the price-to-sales and profitability screens are not run for Asia.
- **Asian valuation pilot (15 deals):** Hong Kong (Xiaomi, China Tower, Haidilao, Smoore, Nongfu Spring; HKEX prospectuses and allotment announcements), China A (CNNP, Foxconn Industrial Internet, CATL, Mindray, Beijing–Shanghai High-Speed Railway; CNINFO prospectuses, Mindray from its annual report because the prospectus is a scanned image) and India (Coal India, HAL, Zomato, Nykaa, Paytm; final prospectuses). Every input is printed in the source or derived from printed numbers (data/fundamentals_derivations.csv); figures are as reported, with no analyst adjustments, and a dividend is used only when the prospectus states an amount. Industry benchmarks from Damodaran's China and India files, the Emerging-markets file where a country has fewer than 10 firms in the industry, and the US January 2010 file for Coal India (no earlier India file exists).
- **Not investment advice.** In-sample results, small groups, no costs.

Code MIT licence; text and results CC BY 4.0. Price data © its providers; see the repository's DATA.md. Cite as: Alqubaisi, A. (2026). Large-cap IPOs, 2010–2025: traditional valuation vs quant rules, v1.4.0 (data to 2026-10-19). https://github.com/aalqu/IPO-val-vs-q